

Global Hotels & Leisure

Best of Times, Worst of Times: Lodging & Cruise - if they come, will they build them?



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"It was the best of times, it was the worst of times". The famous opening line of Charles Dickens' 'A Tale of Two Cities' captures a period of contradiction: the French aristocracy indulging in opulence and privilege, the peasantry experiencing poverty and oppression. While 2026 is thankfully not 18th century France, shifting class dynamics remain more topical than ever, from the US K-shaped economy to the squeezed Chinese middle class. Travel, particularly leisure, has been a key beneficiary of the K-shaped recovery, with spend increasingly concentrated among higher-income cohorts. The sector is also exhibiting its own internal K-shape: from January–May 2026, US hotel revenues grew 9.1% in the luxury segment while declining 2.7% in economy. Similar divergence is evident across cruise and airline markets. In cruise and aviation, supply is responding in line with market equilibrium theory, with high-end capacity expanding to meet demand. Hotel development, however, tells a different story. Despite strong demand signals, supply growth has been more pronounced in Upscale through Midscale than in Luxury. This raises a key question: are developers anticipating a different demand outlook, or is demand just one of several factors guiding decisions? Elevated financing, construction, and labor costs may be constraining the economics of luxury projects, offsetting revenue upside. Two implications follow. First, luxury hotels are likely to see continued tailwinds, given constrained supply relative to demand. Second, operators underexposed to luxury may increasingly turn to M&A to reposition, pointing to potential deal activity ahead.

The K shape is very easy to spot in travel. The K-shape is very evident across recent company reports. In 1Q26, Park Hyatt grew RevPAR 10.3% versus 2.2% at Hyatt Place (mainstream). In cruising, Viking (luxury) delivered 9.5% yield growth, while Norwegian (more mainstream) saw yields decline 0.3%. Delta similarly reported premium revenue growth at roughly twice the pace of total ticket revenue. These are all pre World-Cup, which are likely to supercharge the trend in the US - in the WC June 14, Luxury Chain RevPAR grew 17.4%.

Vertically integrated capital is flowing into luxury, while fragmented models lag. In sectors where operators control growth, investment is clearly targeting high-end demand. Luxury cruise capacity is growing at >10% in 2026, with the "yacht" segment up 24%, well ahead of overall industry growth (4%). Similarly, Air France's premium capacity has outpaced economy by ~10% since 2019. By contrast, where third parties drive development, the opposite holds: Upscale through Midscale continue to outgrow luxury footprints and pipeline data suggests this continues. This likely reflects structural constraints. Luxury hotels require prime locations, whereas mainstream hotels are more flexible and are expanding into new regional demand drivers such as US infrastructure. They are also far cheaper and faster to build, while luxury assets are capital-intensive, operationally complex, and involve multi-year development cycles. Developers prioritize returns and speed. A similar dynamic exists in restaurants, where capital favors \$500k Wingstop builds over \$8m Ruth's Chris, regardless of demand trends. The result should support Luxury Hotel RevPAR for years, while also driving M&A as a faster route to increase luxury exposure. Recent deals (Lefay, Standard, Graduate) reflect this shift.

BERNSTEIN TICKER TABLE

Ticker	Rating	2 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ABNB (Airbnb)	O	USD	148.93	168.00	(10.1)%	USD	4.03	5.44	6.65	37.0	27.4	22.4
BKNG (Booking)	M	USD	184.56	188.00	(38.5)%	USD	9.12	10.53	12.29	20.2	17.5	15.0
CCL (Carnival)	M	USD	27.91	28.70	(26.0)%	USD	2.25	2.22	2.51	12.4	12.6	11.1
EXPE (Expedia)	M	USD	268.69	253.00	33.1%	USD	15.86	20.92	25.20	16.9	12.8	10.7
HLT (Hilton)	M	USD	338.12	320.00	4.5%	USD	8.11	8.96	10.28	41.7	37.8	32.9
H (Hyatt)	O	USD	191.28	202.00	10.5%	USD	2.25	4.03	5.17	84.9	47.4	37.0
IHG.LN (IHG)	M	USD	167.55	154.00	20.3%	USD	5.01	5.69	6.48	33.4	29.5	25.8
MAR (Marriott)	O	USD	372.95	402.00	14.0%	USD	10.02	11.53	13.30	37.2	32.4	28.0
MEL.SM (Melia)	O	EUR	12.00	10.30	42.7%	EUR	0.78	0.75	0.80	15.3	16.1	14.9
NCLH (Norwegian)	M	USD	19.78	18.00	(29.2)%	USD	2.11	1.64	1.94	9.4	12.1	10.2
RCL (Royal Caribbean)	O	USD	296.30	355.00	(30.6)%	USD	15.63	17.47	19.65	19.0	17.0	15.1
TRIP (TripAdvisor)	O	USD	14.29	20.00	(37.5)%	USD	1.27	1.30	1.88	11.3	11.0	7.6
TUI1.GR (TUI AG)	M	EUR	7.22	9.20	(26.2)%	EUR	1.34	1.29	1.57	5.4	5.6	4.6
VIK (Viking)	O	USD	100.69	120.00	62.4%	USD	2.61	3.31	4.65	38.6	30.4	21.7
WTB.LN (Whitbread)	U	GBP	2,415.00	2,100.00	(38.9)%	GBP	2.07	1.71	1.83	11.7	14.1	13.2
SPX			7,483.24									
EDME			1,622.79									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

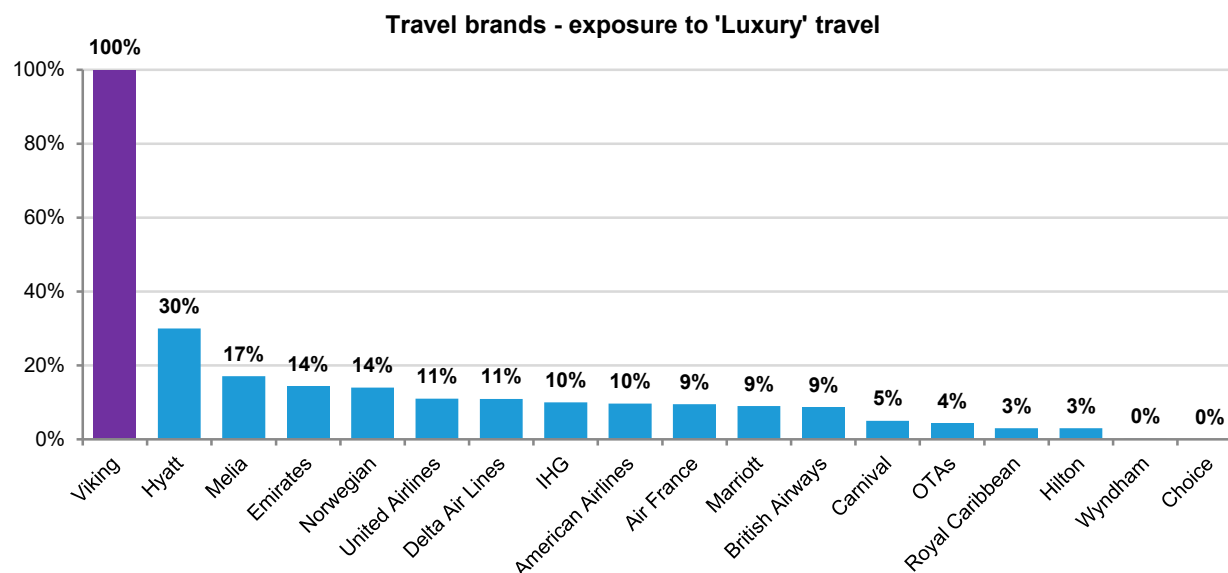
The short term winners - there is a clear spectrum of exposure to the Luxury traveler. Viking is a pureplay and Melia/Hyatt skew heavily to the segment; with Marriott & IHG also having a decent presence. These are the ways to play an ongoing short term shift to Luxury spend. OTAs notably under index to the 5* hotel but benefit from overall travel strength.

We would have long term positive view on Hotel RevPAR, given there is seemingly little supply growth coming to balance outsized demand growth. Hyatt should continue to lead the pack on RevPAR. However, even though there is higher supply growth in luxury cruise, this is the most exposed to the best demographic trends (older and wealthier consumer) and is an indirect beneficiary of low luxury hotel construction.

DETAILS

KEY CHARTS

EXHIBIT 1: **Viking is unique as the only pure play luxury travel company an investor can buy**



Exposure based on capacity - berths for cruise, rooms for hotels, and seats for airlines; 'Luxury' for airlines includes business and first class seats; airlines based on not group level data

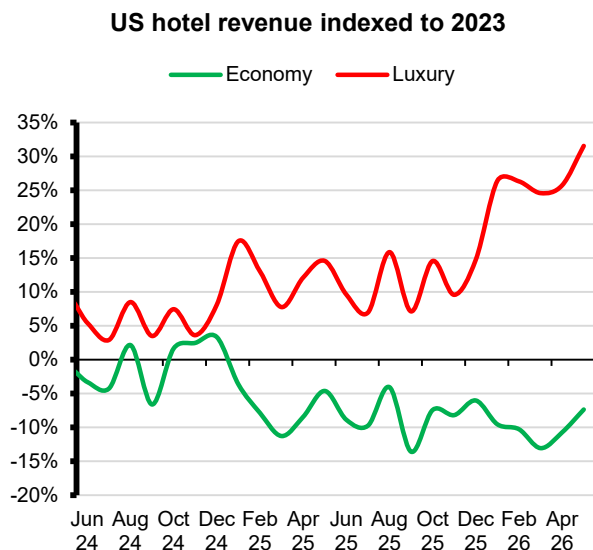
Source: Company reports, SRS, Bernstein analysis

SPOTTING THE K-SHAPE IN TRAVEL IS EASY

Travel is one of the clearest examples of the K-shaped in consumer:

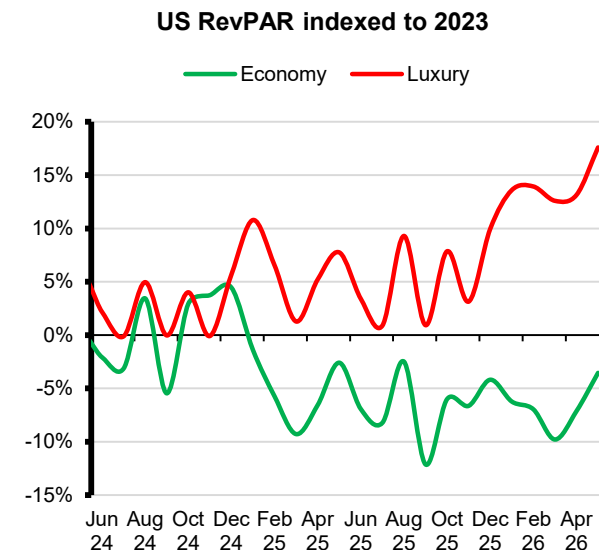
- **In hotels** the relative position of a chain scale is a good predictor of how it has performed - the higher chain scales have persistently outperformed, led by the Luxury segment, which has persistently outgrown the wider market, and has been the leading chain scale on RevPAR performance every single month since March 2025. Relative to 2023 Luxury hotel revenues are up more than 30% in May, while Economy hotel revenues are down HSD, while Luxury RevPAR is up in the high teens vs Economy RevPAR is down MSD - despite much greater Luxury supply growth.
- **In cruise**, we have seen a similar phenomenon - the premium Celebrity brand has seen pricing strengthen (up LDD vs April 2024) despite macroeconomic headwinds to international / high ticket leisure travel, while the mainstream Royal Caribbean has seen pricing fall.

EXHIBIT 2: The K shape is well and truly alive in hotels
- Economy and Luxury hotels have seen a stark
divergence on both a revenue basis...



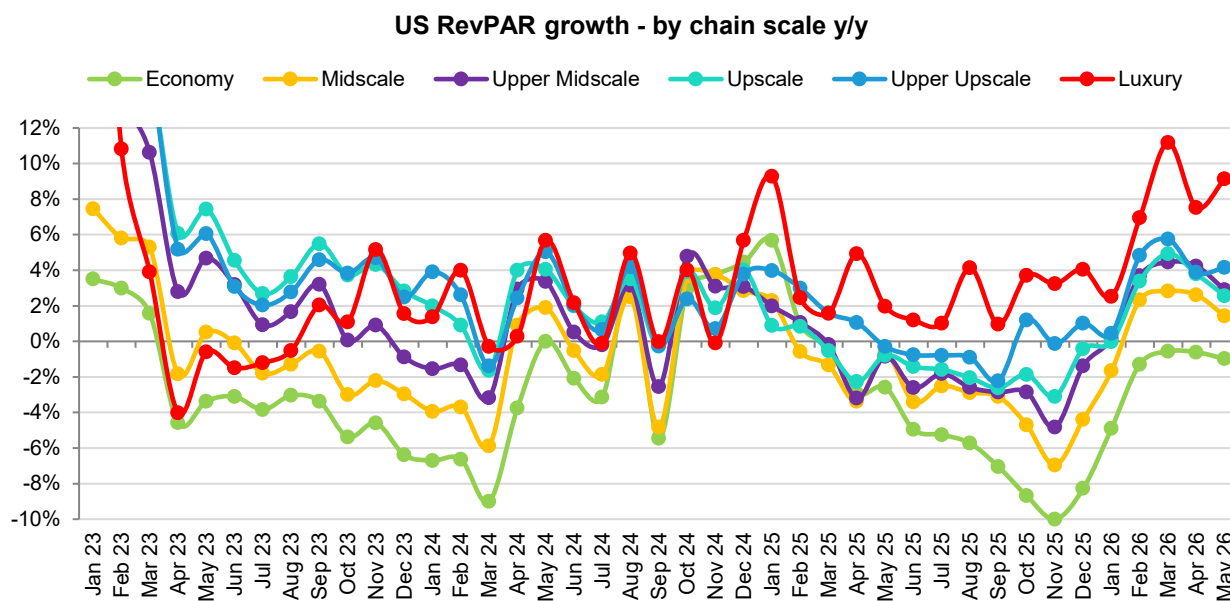
Source: CoStar, Bernstein analysis

EXHIBIT 3: ...and on a RevPAR basis



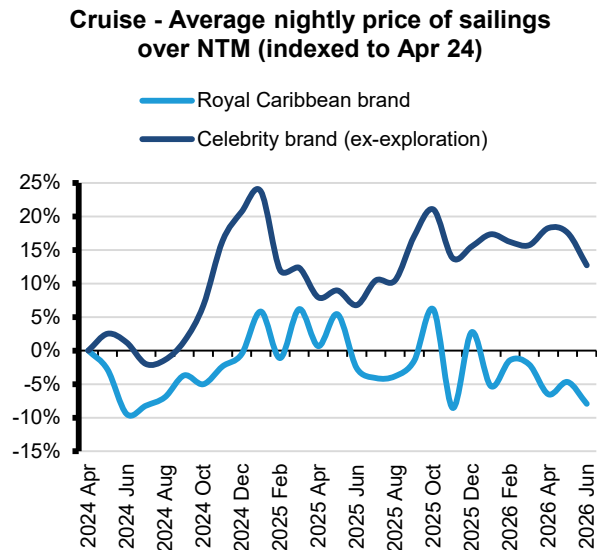
Source: CoStar, Bernstein analysis

EXHIBIT 4: Since 2023 performance across the chain scales has been bifurcated - generally the higher the chain scale, the better it has performed



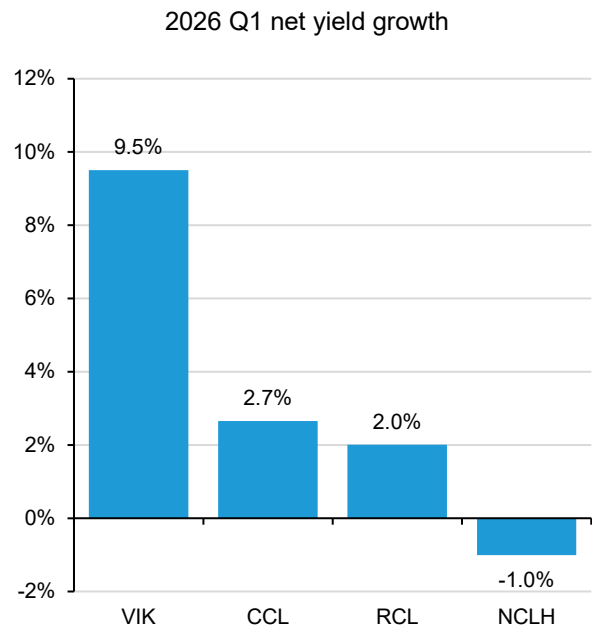
Source: CoStar, Bernstein analysis

EXHIBIT 5: Similarly, premium cruise brands have seen much stronger pricing than mainstream cruise



Source: CoStar, Bernstein analysis

EXHIBIT 6: Viking, the most luxury-focused cruise brand, delivered the highest net yield growth in Q1 2026



Source: Company reports, Bernstein analysis

WE CAN EVEN FIND A K-SHAPE WITHIN LUXURY HOTELS

At the best luxury hotels, the top named suites are more expensive per square meter than a standard room, no economies of scale here. The more luxury/exclusive the product, the higher the demand and the higher the price.

EXHIBIT 7: The most expensive suite is \$53 per square metre, double a standard room and 2.5x the more prosaic Pearl Suite

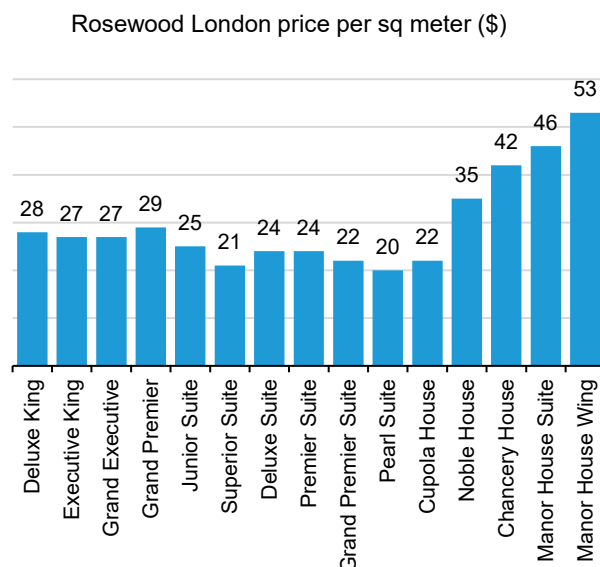
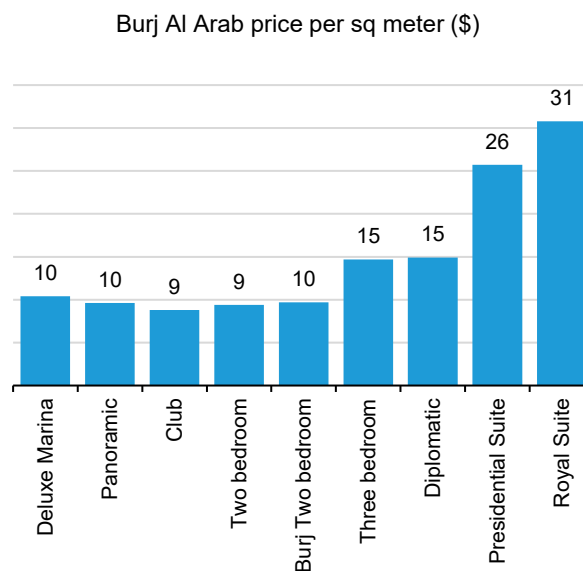


EXHIBIT 8: The Royal Suite will cost you >3x the price per sq meter of staying in a standard room



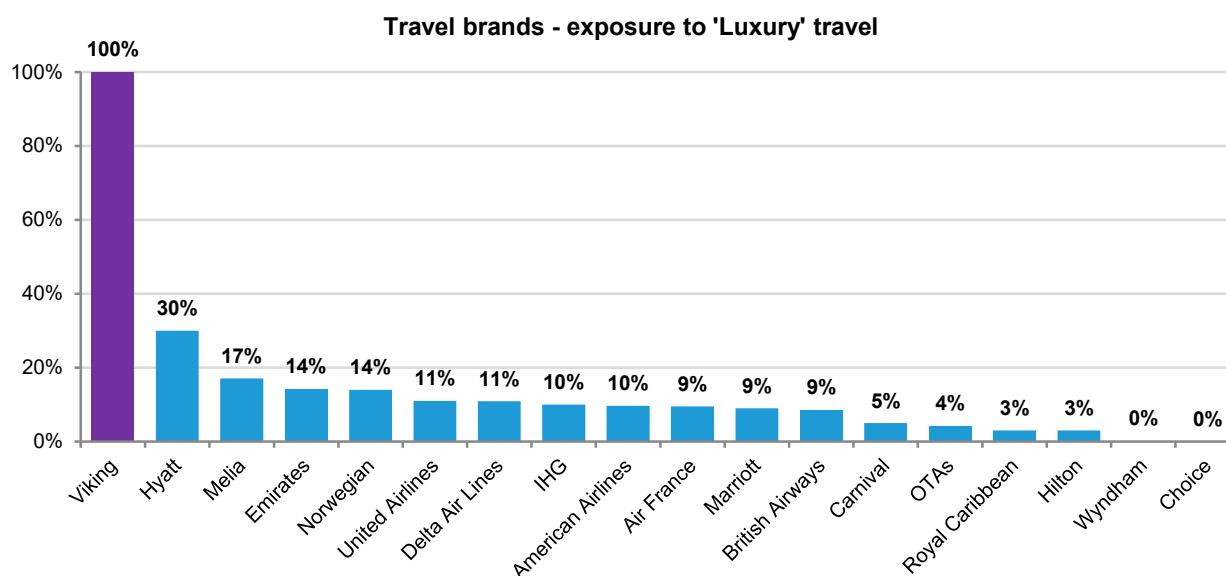
Source: Company website, Bernstein analysis

Source: Company website, Bernstein analysis

HOW TO INVEST IN A K-SHAPE?

There is a clear winner if the K-Shape continues, with Viking having 100% exposure to luxury consumers, while Hyatt, Melia, Marriott and IHG have strong exposure as well.

EXHIBIT 9: Viking is unique as the only pure play luxury travel company an investor can buy



Exposure based on capacity - berths for cruise, rooms for hotels, and seats for airlines; 'Luxury' for airlines includes business and first class seats; airlines based on not group level data

Source: Company reports, SRS, Bernstein analysis

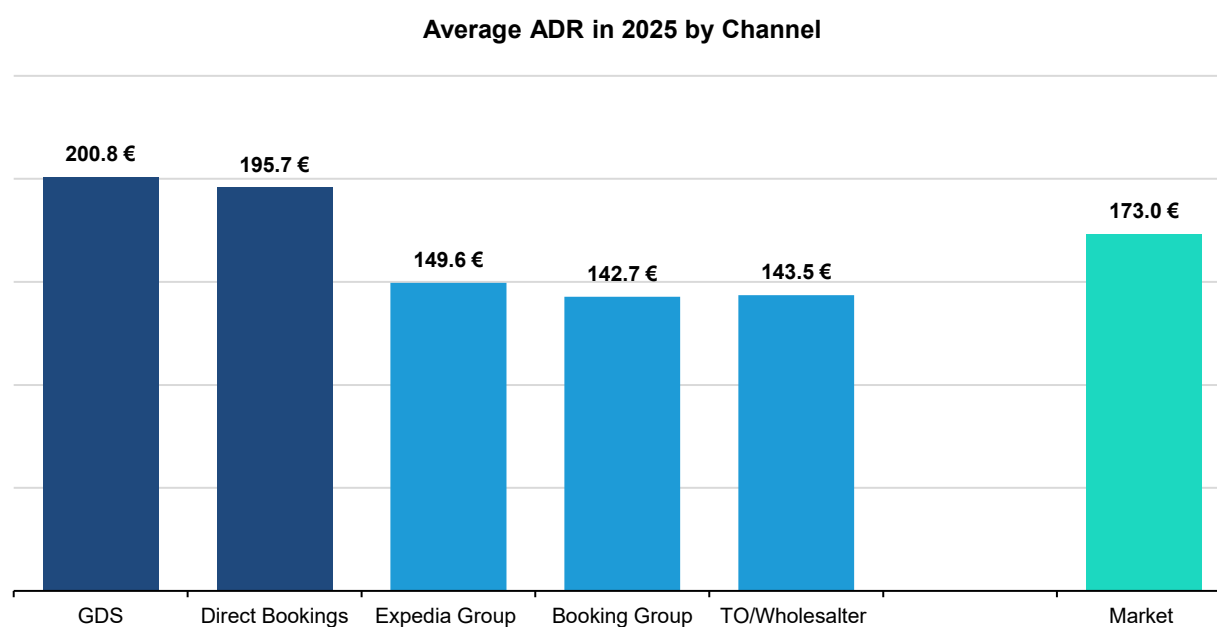
WHERE DO THE OTAS SIT ON THE K-SHAPE?

OTAs tend to serve the more price and convenience conscious leisure customer. As a result:

- **OTAs (notably Booking.com) are more exposed to lower end segments of the market** - in Europe D-Edge has seen 49% of booking revenues for 3 star hotels come from Booking.com, but for 5 star hotels the Booking.com contribution is only 27%.
- **Prices through OTAs are, on average, lower than the wider market**, and through direct and GDS channels, in part due to higher price competition, and also driven by greater exposure to lower end hotels.

As a result the OTAs exposure to the K-shape is relatively unfavorable, with little exposure to the best segments of the market (i.e. Luxury), but some upside from strong travel spend overall.

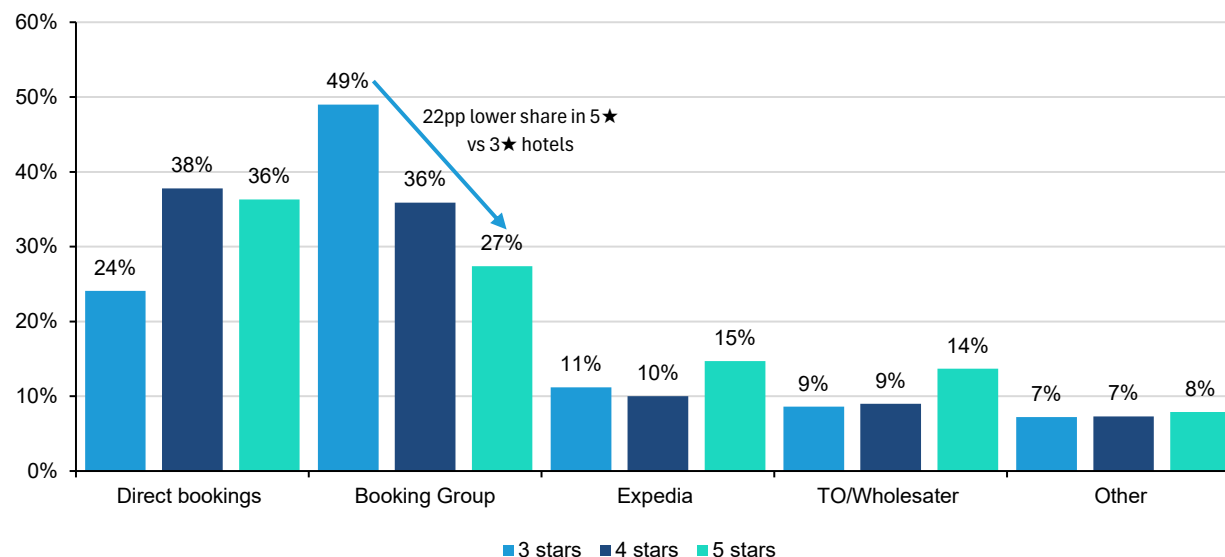
EXHIBIT 10: Direct and GDS bookings command the highest ADRs, reflecting greater exposure to premium and luxury hotels



Source: Bernstein analysis, D Egde

EXHIBIT 11: As hotel category increases, Booking group share declines while Direct and Expedia gain share, with Expedia's growth likely supported by its B2B business

% of Booking Revenues by sales channel in Europe and by hotel category (2025)



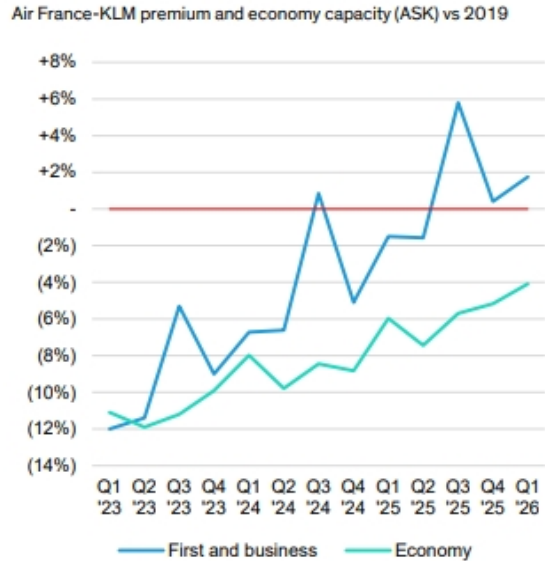
Source: Bernstein analysis, D Edge

DOES TRAVEL ADHERE TO THE MARKET EQUILIBRIUM THEORY?

The Law of Supply states that “All else being equal, as the price of a good rises, the quantity supplied rises; as the price falls, the quantity supplied falls.” We can see that force in Aviation and Cruise, where market participants are investing more in premium products.

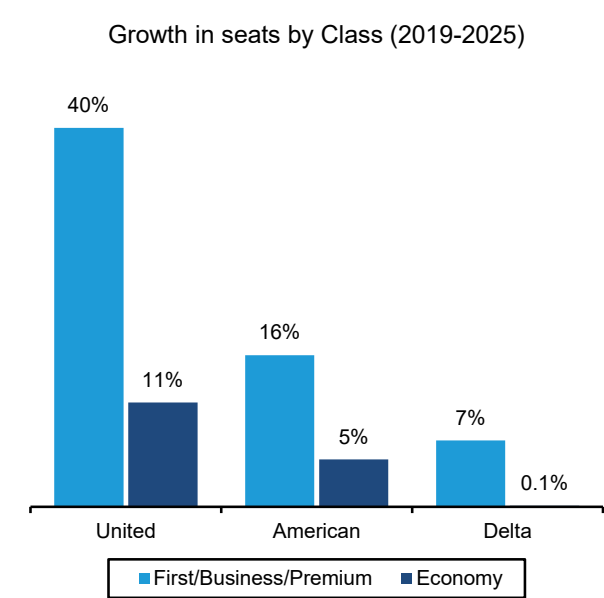
- Airlines have been increasing premium capacity well in excess of economy capacity (Exhibit 12, Exhibit 13) and expect to continue to do so with United expecting to grow its premium seat capacity 2 to 3 percentage points faster next year than its total capacity
- In cruise, similarly, luxury supply will outpace premium and economy supply growth (Exhibit 14) to match the demand growth. Even within luxury cruise, the fastest growth is in the ultra-high end “yacht” segment (Exhibit 15), a K-shape within the top K.
- However in the hotel sector, particularly in the US, supply growth is stronger in mainstream segments. The recent growth and pipeline is stronger in Upscale-Midscale segments than in Luxury. This trend is also seen in Asia (Exhibit 20) although in Europe, luxury growth leads (Exhibit 18). We investigate this phenomenon in the next section, but this looks to mean US Luxury RevPAR will have supply-demand tailwinds that will continue in the coming years.

EXHIBIT 12: **Air France - KLM has grown premium capacity 10% faster than economy capacity since 2019**



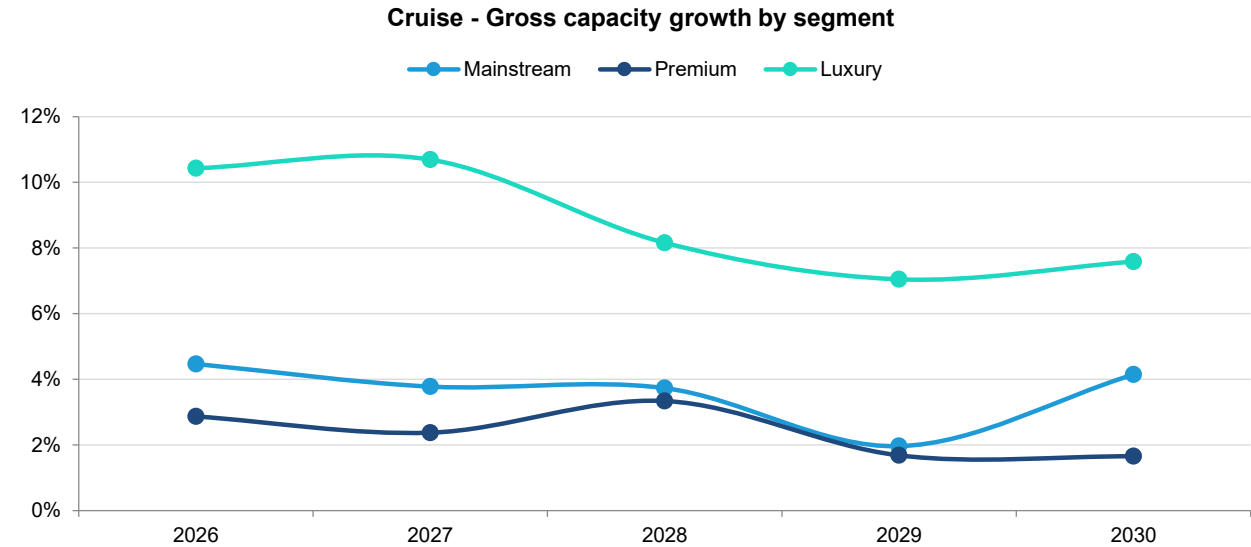
AF covered by Alex Irving
Source: Company reports, Bernstein analysis

EXHIBIT 13: **Similarly US Airlines have grown premium capacity well ahead of economy capacity - matching supply to demand**

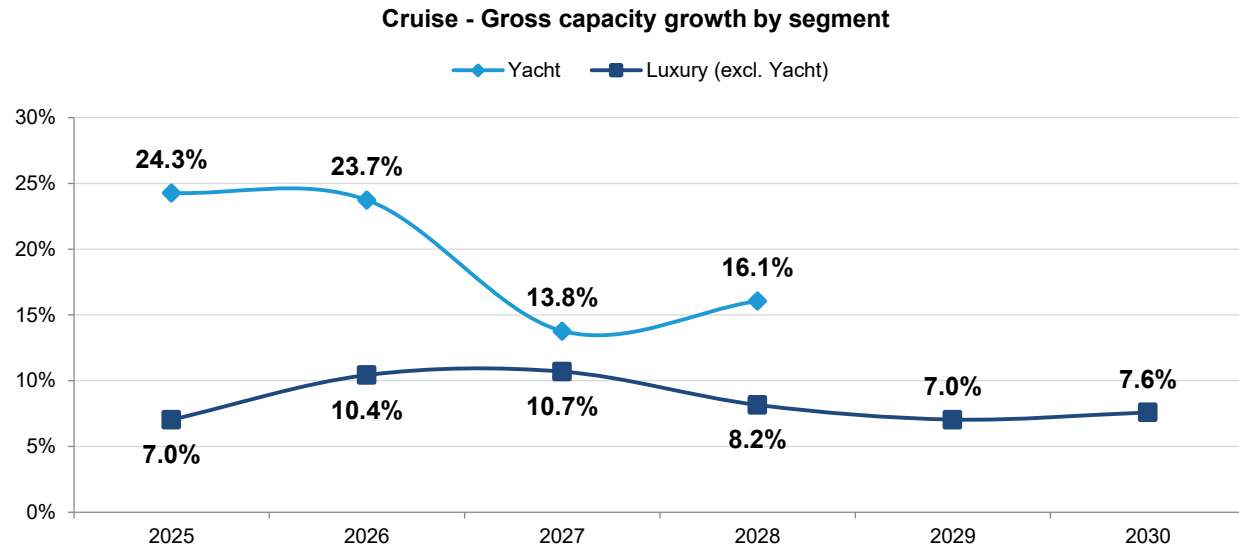


AAL, UAL, DAL covered by Dave Vernon
Source: Travelweekly, Bernstein analysis

EXHIBIT 14: **The luxury cruise segment is set to materially outgrow the premium / mainstream segments**



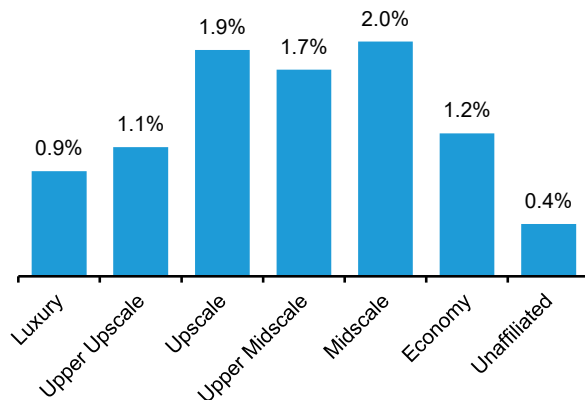
Source: Seatrade, Bernstein analysis & estimates

EXHIBIT 15: Supply in the yacht segment is set to grow faster than in the traditional luxury segment until 2029

Source: SeaTrade, Bernstein analysis & estimates

EXHIBIT 16: Despite the strong demand lead for luxury, American hotel developments are opening more mainstream hotels than Luxury

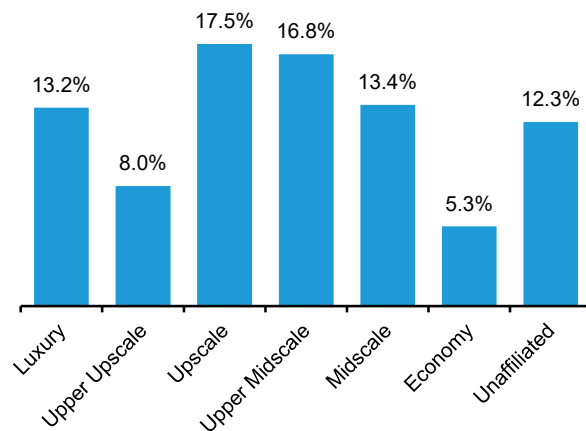
USA: Supply growth 12m to May 2026



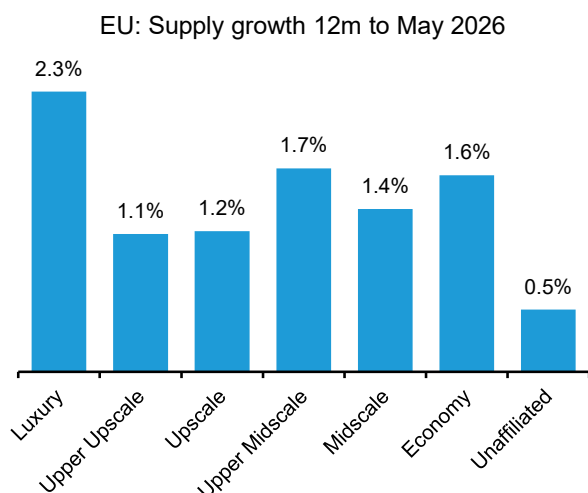
Source: STR, Bernstein analysis

EXHIBIT 17: This look set to continue, the pipeline is larger for Upscale-Midscale than for Luxury

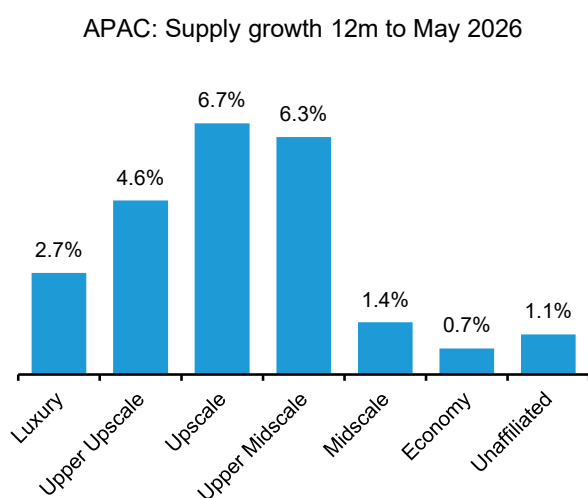
USA: Pipeline/Supply May 2026



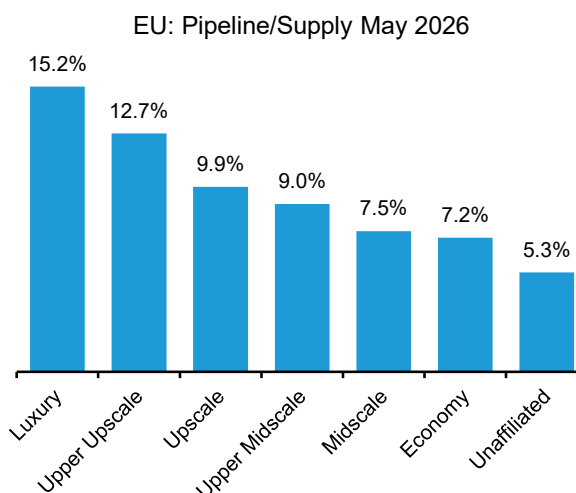
Source: STR, Bernstein analysis

EXHIBIT 18: Europe looks more as expected, luxury supply growth is outpacing

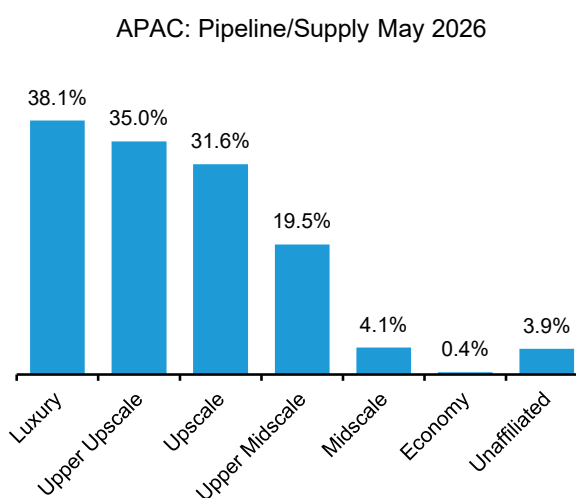
Source: STR, Bernstein analysis

EXHIBIT 20: In APAC, supply growth is skewed to the mainstream

Source: STR, Bernstein analysis

EXHIBIT 19: And here looks set to continue with a strong luxury pipeline

Source: STR, Bernstein analysis

EXHIBIT 21: But Luxury has a strong pipeline in APAC, suggesting it might accelerate from here

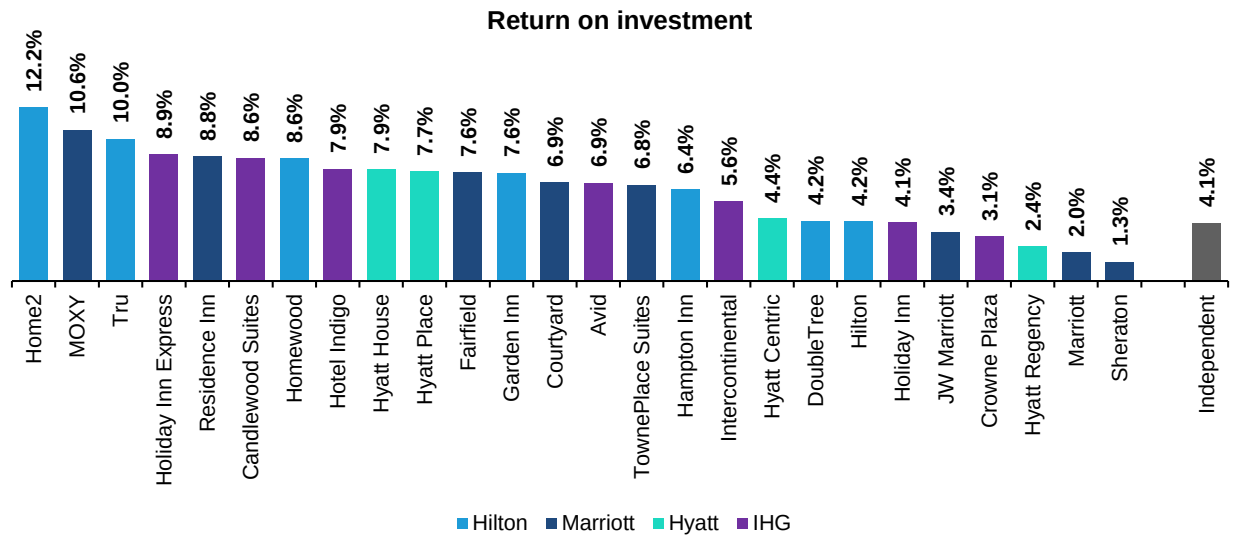
Source: STR, Bernstein analysis

WHY IS SUPPLY NOT FOLLOWING DEMAND IN HOTELS?

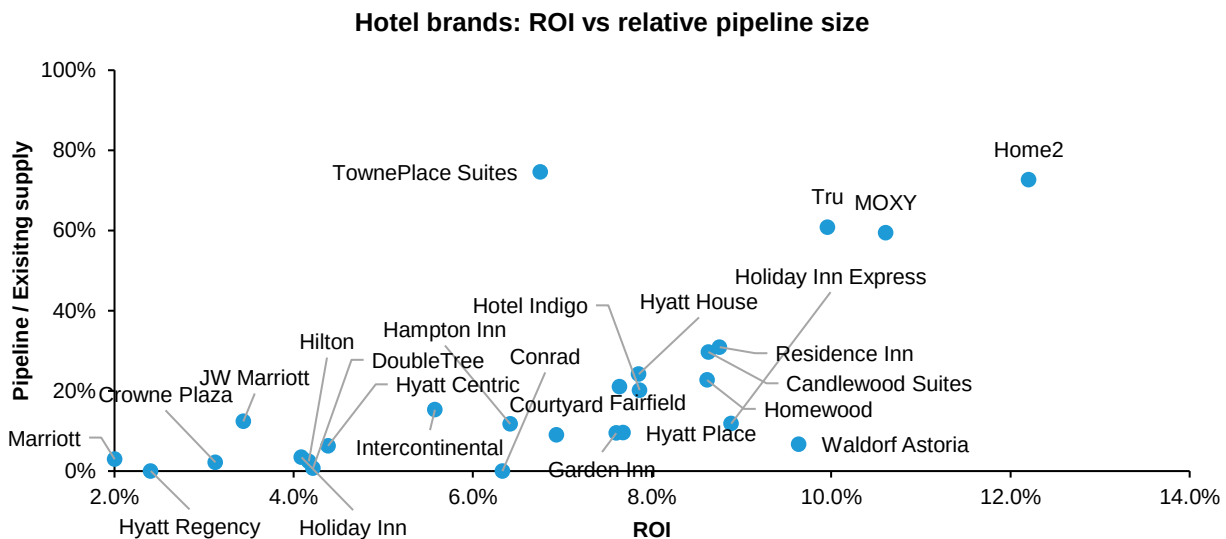
We would set out the following reasons why Luxury hotel development is not matching the rampant demand environment:

1. **The high end consumers is not the only game in town.** Branded hotels in the US are majority business travel focused and therefore are also chasing the current infrastructure boom in the US, likely seen as a less cyclical trend to invest into.
2. **Luxury hotels are low returning.** Despite the strong ADR growth, Luxury Hotels such as Intercontinental (5.6%) and JW Marriott (3.4%) offer far lower returns than select-service brands, as the high ADR doesn't offset the high labor intensity. Growth tends to correlate with returns not with simply high prices (Exhibit 23). Notably, this is not so true in Cruise where Viking has a higher return on investment than mainstream operator. Luxury hotels can offset low operating returns through adding high returning residences or through property price appreciation, but this is less certain than a high operating return.

3. **Luxury hotel development costs have risen faster than achievable room rates.** Construction inflation, higher financing costs and increasingly demanding luxury specifications have pushed replacement costs sharply higher. While ADRs have grown strongly, in many markets they have not increased sufficiently to preserve historical development yields. As a result, investors may prefer lower-cost formats where capital can be deployed more efficiently and recovered more quickly.
4. **Luxury Hotels are also slow to build.** Luxury hotels also tie up capital for many years, with an average construction time more than double a mainstream hotel. In the US, essentially all the Midscale projects currently under construction will be completed by the end of 2027, but 25% of luxury projects will still have work ongoing (Exhibit 24); this slows down the ability to recycle that capital.
5. **Luxury service models require scarce labour.** The guest experience depends on high staffing ratios, specialist skills and personalised service. In many markets labour shortages and wage inflation have become significant constraints, making luxury assets more difficult to operate profitably than lower-service hotel formats.
6. **Financing increasingly favors shorter-duration projects.** Luxury hotels require large upfront capital commitments, lengthy development periods and often generate lower cash-on-cash returns than other hotel segments. In a higher interest rate environment, lenders and equity investors have become more selective, favoring projects with faster completion timelines and more visible returns.
7. **Third party /fragmented capital seems to invest differently to integrated capital.** We note the vertically integrated businesses (cruise and airlines) look set to invest behind a long term K-shaped trajectory. Those industries that employ a franchise model (hotels, restaurants) look to focus on more short term, quick to build and high ROI formats.
8. **Luxury hotels can't simply be built, the product is about location, exclusivity and heritage.** Whereas you can build a mainstream hotel at any freeway junction or airport terminal without too much concern, and a luxury cruise ship is a moving product that can seek out the best locations, luxury hotels need
 - **Suitable sites are inherently scarce.** Luxury demand is concentrated in a limited number of global gateway cities, resort destinations and iconic heritage locations. Unlike mainstream hotels, where supply can be added near highways, airports and suburban business districts, luxury hotels depend on unique locations that cannot be easily replicated. The best hotels in the world overlook Hong Kong harbor, Lake Como or are in 15th Century Medici palaces in Florence. These don't come up every day, and therefore simply the desire or capital to build more luxury hotels won't simply make it so.
 - **Heritage** - whereas a new mainstream hotel can be best in breed simply by being new; luxury hotels tend to improve with age, with review scores improving as hotels get older (Exhibit 25).
 - **Brand growth is intentionally constrained.** Luxury brands derive value from curation and selectivity. Excessive expansion risks diluting brand positioning and reducing pricing power. As a result, the most prestigious brands often choose to grow slowly, even when demand conditions appear attractive. The top reviewed hotel brands tend to have a small number of locations. In Exhibit 27 we show the top reviewed brands- Sofitel Legends has just five locations, Alila 19, Regent 6, Waldorf Astoria 35. It is hard to develop new brands organically and over extending existing brands can undermine exclusivity, holding back total growth.

EXHIBIT 22: **Luxury brands (JW Marriott, Intercontinental) make returns well below the best returning brands**

Source: Company reports, Franchise Disclosure Documents, Bernstein analysis & estimates

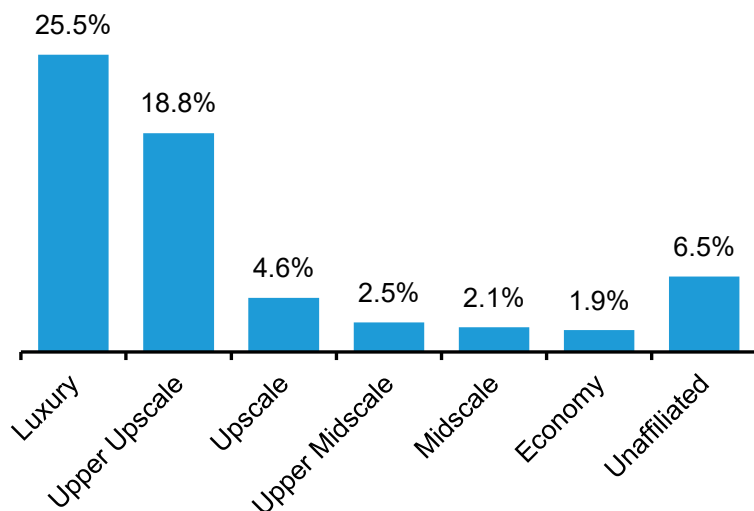
EXHIBIT 23: **Brands with higher ROIs have a clear pipeline size premium to those with lower ROIs**

Excluding Avid

Source: STR, Franchise Disclosure Documents, Bernstein analysis & estimates

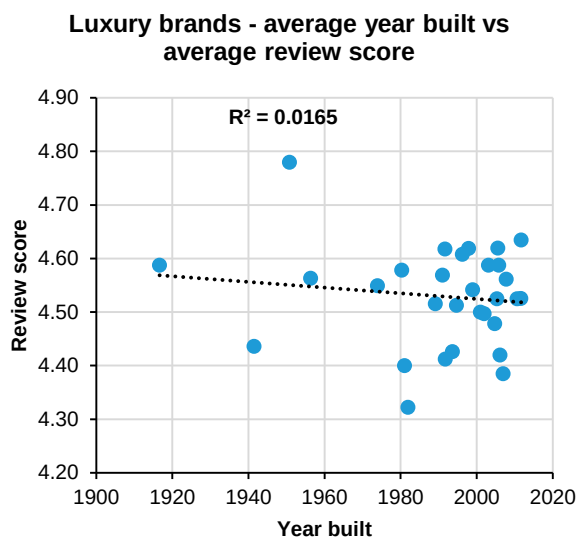
EXHIBIT 24: Luxury hotels are slow to build so tie up capital. Nearly 98% of Midscale hotels currently under construction in the US will be open by the end of 2027, but over ¼ of luxury projects will still be under construction

USA: % under construction pipeline that won't open till 2028 or later



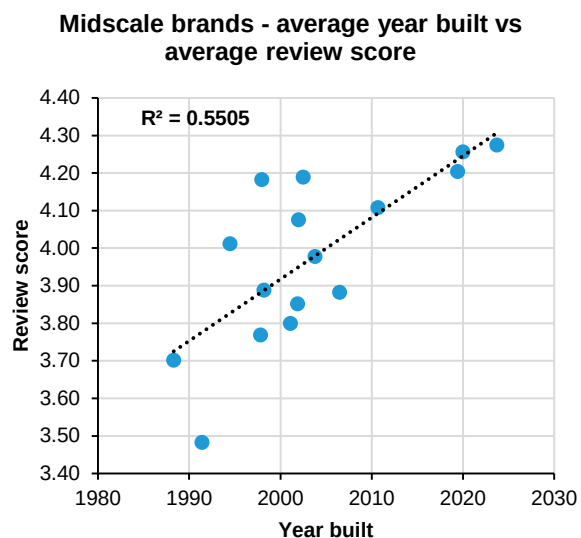
Source: STR, Bernstein analysis

EXHIBIT 25: Luxury hotels tend to improve with age - just opening a new hotel won't make it competitive



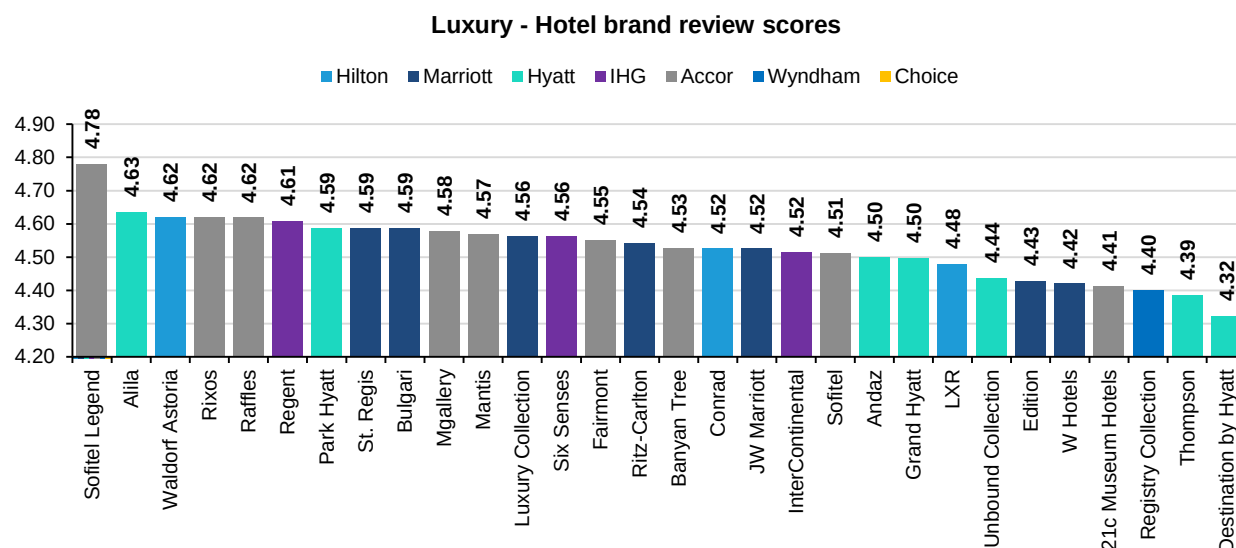
Source: Google Hotels, Bernstein analysis

EXHIBIT 26: In the Midscale segment age has a much higher correlation with review score, being new is good



Source: Google Hotels, Bernstein analysis

EXHIBIT 27: Sofitel Legend leads the Luxury chain scale by a wide margin, well ahead of Luxury peers. This has just 5 locations - that standard can't be preserved across 100s of sites



Source: Google Hotels, Bernstein analysis

WATCH OUT FOR M&A:

Taken together, the luxury hotel sector faces constraints that do not exist in most other travel categories. Returns are relatively modest, projects are capital intensive and slow to complete, financing is increasingly selective, suitable locations are scarce, and leading brands deliberately ration growth to preserve exclusivity. As a result, even in a period of exceptionally strong luxury demand, supply is unlikely to respond as quickly or as aggressively as investors might expect. This dynamic also suggests that M&A may become an increasingly important route to gaining/increasing luxury exposure. With organic development constrained by scarce sites, lengthy development timelines and brand curation, acquiring existing luxury assets, brands or management platforms may offer a faster and more certain path to participate in the sector's growth. For companies seeking to increase their luxury mix, consolidation may therefore prove a more effective strategy than attempting to build scale organically.

Recent Examples include:

- **IHG's acquisition of Regent Hotels & Resorts (2018)** – IHG acquired a majority stake in Regent, a highly prestigious luxury brand with a small global footprint, providing a platform to expand its presence at the very top end of the market.
- **IHG's acquisition of Six Senses (2019)** – IHG acquired Six Senses for approximately **\$300m**, gaining one of the industry's most sought-after luxury and wellness brands rather than building a new luxury concept from scratch.
- **Hyatt's acquisition of Standard International (2024)** – Hyatt acquired The Standard and Bunkhouse brands to accelerate its exposure to luxury and lifestyle demand through an established global platform rather than organic development.
- **Hyatt's acquisition of Playa Hotels & Resorts (2025)** – Hyatt agreed to acquire Playa Hotels & Resorts in a transaction valued at approximately **\$2.6bn**, materially increasing its exposure to upscale and luxury resort markets across the Caribbean and Mexico
- **Hilton's acquisition of Graduate Hotels (2024)** – Hilton paid **\$210m** for the Graduate brand, securing a differentiated lifestyle platform with more than 35 operating and pipeline hotels and significant room for future expansion.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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